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Our ref: IM-72819

7 February 2025

Dear Interested Party

Request for submissions: Intellihub's proposed acquisition of Powermetric

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on Intellihub Australia Pty Ltd (**Intellihub**)'s proposed acquisition of Powermetric Metering Pty Ltd (**Powermetric**) (the **Proposed Acquisition**).

Intellihub and Powermetric both provide smart metering services in Australia, to commercial and industrial, mass market and embedded network customers. Further details about the parties and the proposed acquisition are provided at **Attachment A**.

The ACCC's investigation is focused on the impact of the Proposed Acquisition on competition. In particular, we are seeking your views on:

- the closeness of competition between Intellihub and Powermetric in the supply of smart metering services to commercial and industrial customers
- the extent to which services provided to commercial and industrial customers differ from services provided to mass market (including residential and small to medium business customers) and/or embedded network customers
- the barriers to entry and expansion in the supply of smart metering services

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by 24 February **2025** via email with the title: *Submission re: Intellihub/Powermetric*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential.

Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', with a stylized, cursive script.

Morag Bond
General Manager
Merger Investigations

Attachment A

Proposed Acquisition

Intellihub proposes to acquire Powermetric. Intellihub and Powermetric both supply smart metering services in Australia.

The acquirer – Intellihub

Intellihub is a utility services company based in Australia and New Zealand which is 50% owned by each of Brookfield and Pacific Equity Partners. Intellihub provides multi-utility services, including electricity and water metering, asset management, installation, and day-to-day operations of smart utility infrastructure. Intellihub provides smart metering services for mass market, commercial and industrial, and embedded network customers.

The target – Powermetric

Powermetric is a smart metering provider which is 100% owned by Shell Energy Operations Pty Ltd. Powermetric primarily supplies smart metering services to commercial and industrial customers, and to a more limited extent mass market and embedded network customers.

Smart metering services

A smart meter, also known as an advanced meter, is a device that is physically installed at a customer's premises which digitally measures and records that customer's energy usage. It provides real-time information to customers and/or retailers on the customer's energy usage without the need for a manual reading of the meter itself.

Smart meters can also:

- allow a customer's electricity supply to be remotely switched on and off without the need for a field technician to physically do so;
- remotely measure the power quality at a customer's premises; and
- notify a customer's electricity retailer or distributor when a customer's power goes out.

Metering service providers act as Metering Coordinators under the regulatory regime for the National Electricity Market. Metering Coordinators:

- install and maintain smart meters at customer's premises; and
- collect, analyse and share smart meter data.

Supply of smart metering services to commercial and industrial customers

Commercial and industrial customers are generally large businesses which can acquire metering services:

- directly from metering service providers
- via brokers that negotiate with metering service providers on behalf of

commercial and industrial customers, or

- via electricity retailers, if the customer chooses to.

Commercial and industrial customers may contract for metering services for single sites or portfolios of sites, and formal tender processes are frequently run to award these contracts.

Commercial and industrial customers in Australia generally already have smart meters installed. Metering service providers compete to win contracts to replace existing smart meters or to install initial smart meters and provide services at new customer sites.

Attachment B

1. Provide a brief description of your business or organisation.
2. Outline the reasons for your interest in the Proposed Acquisition, including any commercial relationship/s with Intellihub, Powermetric, Brookfield, Pacific Equity Partners and/or Shell Energy Operations.

The questions below are divided into questions for customers and competitors, but you are welcome to comment on any question/s in any category.

Questions for customers of smart metering services

3. Identify and describe the types of smart metering services you acquire in Australia.
4. Identify your current suppliers of these services, including the length of time you have used each supplier.
5. Describe how you acquire smart metering services, for example, through formal tender or other methods.
6. Identify the key factors that you consider when selecting a metering service provider (e.g. price, capacity, experience, data handling ability). Describe how non-price factors are assessed.
7. For each smart metering service you acquire in Australia, identify and describe prospective suppliers capable of servicing your needs.

Questions for competitors

8. Identify the smart metering services you supply in Australia. For each service you supply:
 - a. identify the geographic locations where you supply
 - b. identify your competitors for the service, and
 - c. provide estimated shares of supply in Australia.
9. Describe any ownership links or long term contractual relationships you have with any businesses in related sectors.
10. Identify the types of customers which you supply smart metering services to (e.g. commercial and industrial, mass market or embedded network). If your organisation's focus is on the supply of smart metering services to a specific customer type, comment on the ease and difficulty for your organisation to expand its offering to other customer types.
11. Explain the basis on which you compete for the provision of metering services (e.g. price, capacity, experience, data handling ability).
12. Explain the main requirements that must be met to supply metering services in Australia. In your response, you may wish to consider:
 - a. regulatory and other accreditations, including minimum standards set out in the National Electricity Rules, required to provide metering services
 - b. the time and costs involved with entry or expansion

- c. the scale necessary to compete at competitive prices
- d. the ease of securing customers and contracts for supply, and
- e. any other barriers.

Explain whether any of these requirements differ depending on the type of customers that are being supplied.

- 13. Discuss the likelihood of, and timeframe for, new entry or expansion in the supply of smart metering services. Identify any recent examples of new entry or expansion where possible.
- 14. Discuss the ability of other metering service providers in Australia to compete with Intellihub and Powermetric.

Additional information and competition issues

- 15. Describe whether and to what extent competing metering service providers would, post-acquisition, constrain Intellihub from increasing prices and/or decreasing service levels for the supply of smart metering services, including factors such as locations serviced, capacity, experience and data handling ability.
- 16. Provide any additional information or comments that you consider relevant to the ACCC's consideration of the proposed acquisition.